

ECONOMICS

Paper 1 Multiple Choice

9708/12

February/March 2019

1 hour

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

READ THESE INSTRUCTIONS FIRST

Write in soft pencil.

Do not use staples, paper clips, glue or correction fluid.

Write your name, centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

DO **NOT** WRITE IN ANY BARCODES.

There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.

Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.

Read the instructions on the Answer Sheet very carefully.

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.

Any rough working should be done in this booklet.

Dme

This document consists of **12** printed pages.

2

Specialisation
greater output

1 Which outcome depends upon the division of labour?

A a decrease in boredom at work *Increase*

B a decrease in comparative advantage *Increase*

C a decrease in efficiency *Increase*

☒ D a decrease in opportunity cost *because output ↑*

Non-rival

2 'An increase in consumption by one person leaves the benefits available to others undiminished'.

Which good does this statement define?

A a demerit good

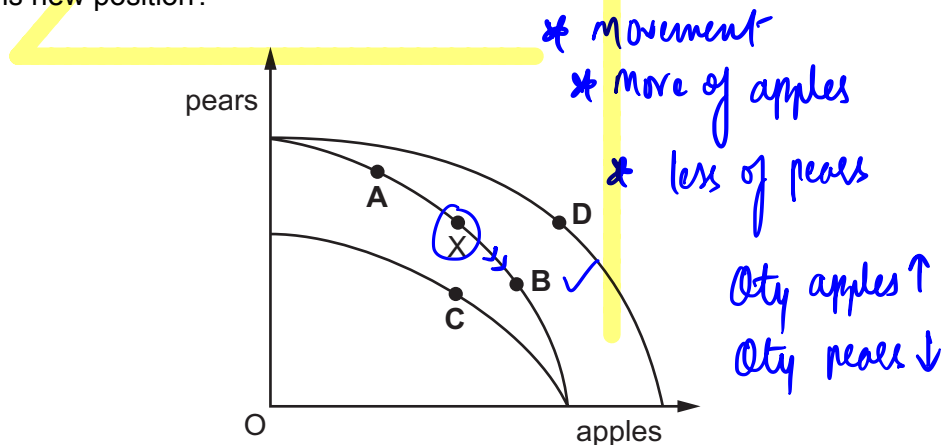
B a merit good

C a private good

☒ D a public good *(Both are private good) (price attached to it) (Non-rival | Non-excludable | Non-rejectable | Free rider problem)*

3 The diagram shows a production possibility curve for a farmer. The original position is X.

If the farmer switches some of his land from producing pears to producing apples, which point represents his new position?



4 A student buys a flute for \$80 but then is unable to learn to play it. It has a resale value of \$50, while the shop retail price of the same type of flute has risen to \$95.

What is the present opportunity cost to the student of keeping the flute?

A \$30

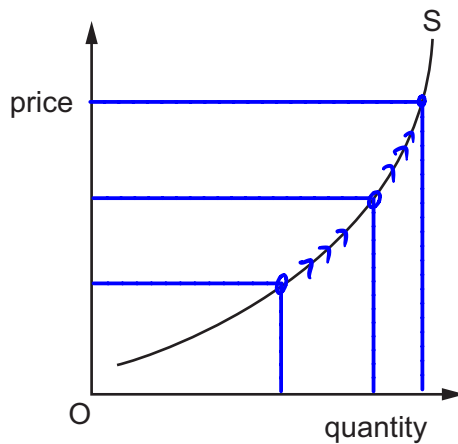
☒ B \$50

C \$80

D \$95

* \$80 ke baad \$50

- 5 The diagram shows a supply curve for beef.



also if productivity rise,
quantity should have
increased by greater
proportion

Qty ↑ prices ↑
↳ additional
unit is costly

What explains why the supply curve for beef slopes upwards?

- movement no shift
- A An increase in the demand for beef will bring about an increase in supply.
- B Farmers' productivity rises as the price rises. supply ↑
- C Increased production leads to a reduction in costs. represented through shift
- D The cost of additional beef production rises as output increases. cost contributes to price

- 6 A theatre increases the price of its tickets from \$10 to \$15. As a result, its total receipts decrease from \$10 000 to \$6000.

$$TR = P \times Q$$

$$Q = 1000 \quad Q = 400$$

Within what range does the price elasticity of demand for theatre tickets lie?

- A 0.2 to 0.5
- B 0.6 to 1.0
- C 1.1 to 1.4
- D 1.5 to 2.0

$$\% \Delta \text{ in price} = 50\%$$

$$\% \Delta \text{ in } QD = 60\%$$

$$PED = 1.2$$

Between 1.1 to 1.4

- 7 A taxi firm raises fares at its busiest times by as much as five times the normal fare. Taxi drivers and customers are notified of the changes by mobile (cell) phone.

What will result from this policy?

- A It will be less likely that there is a market equilibrium.
- B Potential customers will have less perfect information. They are informed by cell phone
- C The market surplus will become a shortage. Lower price leads to shortage
- D The supply of taxi rides will become more price elastic.

There is always an equilibrium

↳ will be available quickly

↳ Since they are aware that prices have increased at busiest times and customers are informed too

Importantly customers

always have less perfect information

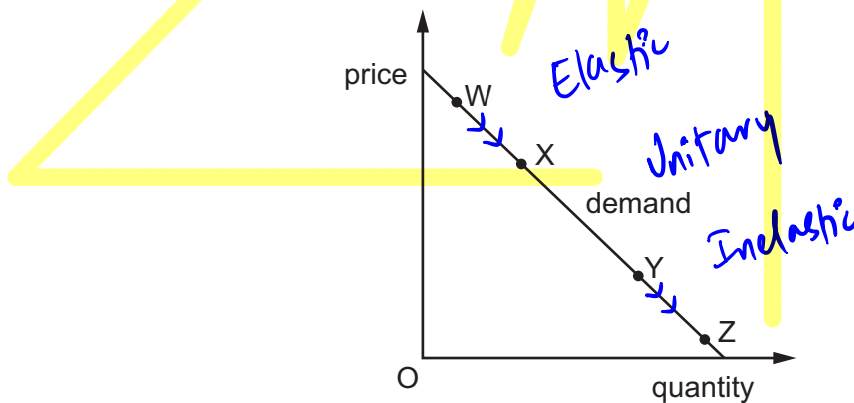
- 8 The table shows Shanaz's and Sunil's price elasticity of demand for restaurant meals and theatre tickets.

	Shanaz	Sunil
$P \uparrow$ restaurant meals	-0.8 < 1	-1.2 > 1
$P \downarrow$ theatre tickets	-1.3 > 1	-0.7 < 1

There is a rise in the price of restaurant meals and a fall in the price of theatre tickets.

What can be concluded after these price changes?

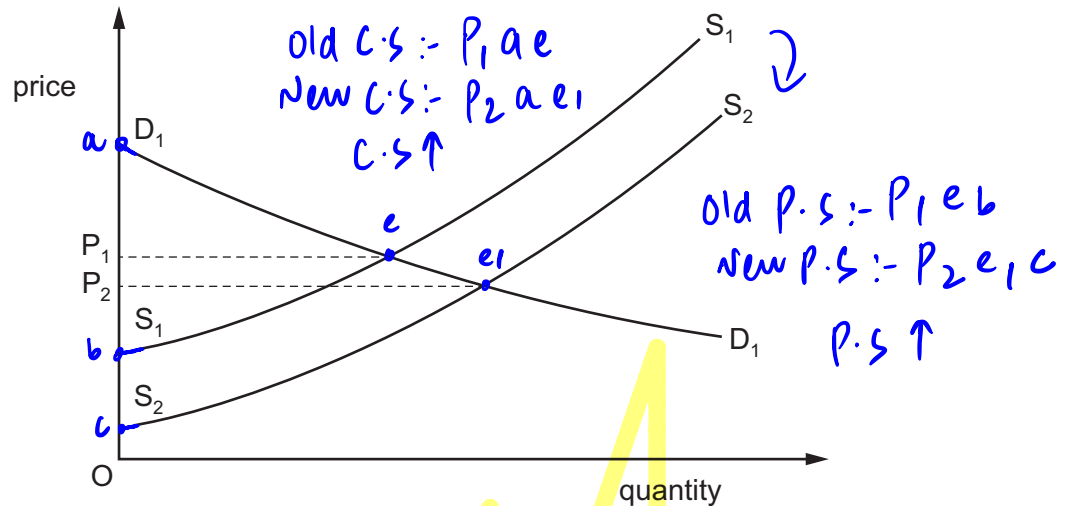
- A Restaurant owners will receive more income. *Shanaz (T.E $\uparrow$), Sunil (T.E $\downarrow$)*
- ☒ B Shanaz will spend more money on both theatre tickets and restaurant meals. *Yes,*
- C Sunil will spend ^{less} more money on both theatre tickets and restaurant meals. *restaurant $P \uparrow Q \downarrow$ T.E $\uparrow$
theatre tickets $P \downarrow Q \uparrow$ T.E $\uparrow$*
- D Theatre owners will receive less income. *Shanaz (T.E $\uparrow$), Sunil (T.E $\downarrow$)*
- 9 The diagram shows the demand curve for a normal product.



Which two points indicates a move from a price inelastic point to a less inelastic point?

- A W to X *less Elastic*
- B X to W *more Elastic*
- C Y to Z *more Inelastic*
- ☒ D Z to Y *less Inelastic*

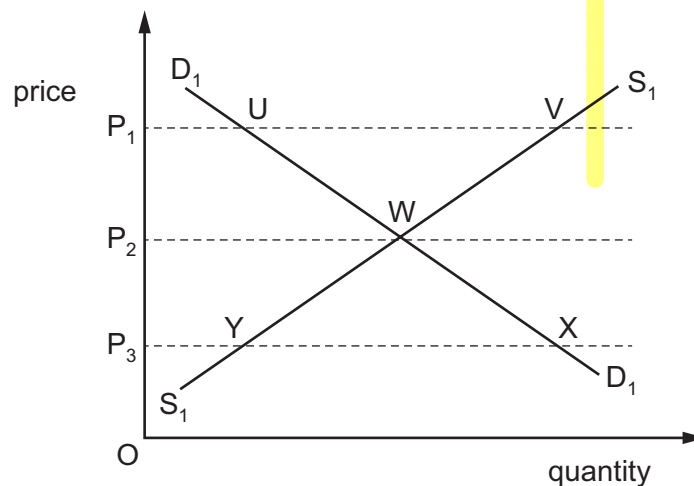
- 10 In the diagram, the supply of a product increases while the demand curve does not shift.



Which row correctly identifies the resulting impact on consumer and producer surplus?

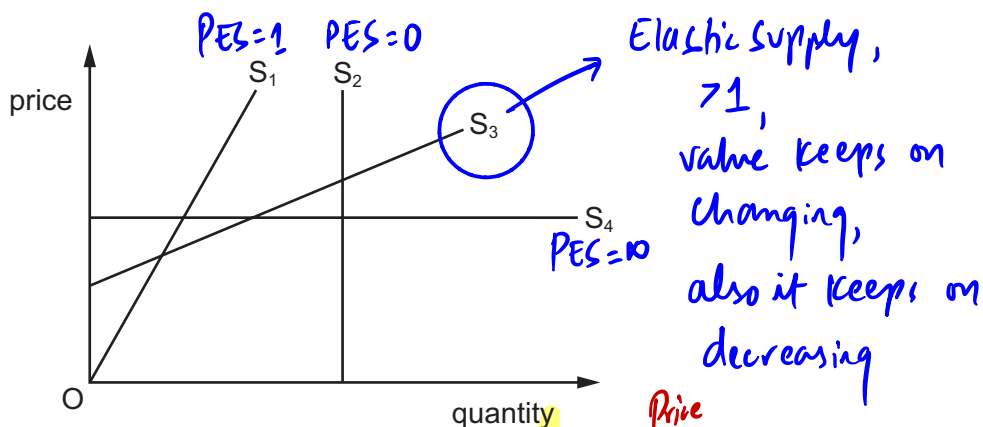
	consumer surplus	producer surplus
A	has fallen	has fallen
B	has fallen	has risen ✓
C	has risen ✓	has fallen
D	has risen ✓	has risen ✓

- 11 The diagram shows the market demand and supply for a good. Which statement is not valid?



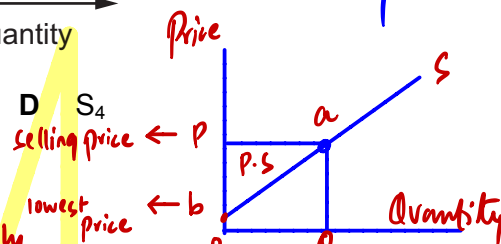
- A** At price OP_1 , UV represents the market surplus. *correct ($V - Q_s$, $U - Q_d$)*
- B** At price OP_3 , P_3X represents the quantity that consumers would like to buy. *$X - Q_d$*
- C** If price were to fall from OP_1 to OP_3 , the extra quantity demanded would be equal to the extra quantity supplied. *It's not unitary*
- D** Price OP_2 is the market equilibrium price. *Yes, at 'W'.*

- 12 For which supply curve is the value of price elasticity of supply not the same at all points on the curve?

A S_1 B S_2 ✓ C S_3 D S_4

- 13 Producer surplus is the difference between

- A the consumer surplus from the good and the producers' total cost of supplying the good. *Below demand and above price*
- B the highest price that the consumer would be willing to pay for the good and the price the producer actually sold it for. *consumer surplus*
- ✓ C the lowest price that the producer would accept for the good and the price the producer actually sold it for. *Below supply*
- D the quantity that the producers manufacture in a week and the amount sold to consumers in that week. *only talking about units/volume/quantity*



- 14 A government wishes to raise the incomes of farmers without raising the price of food to consumers.

Which policy should it use?

- A a maximum price below the market price for food *Doesn't apply in case of farmers*
- B a minimum price below the market price for food *creates black market / shortage*
- ✓ C a payment of a subsidy to farmers to produce food *Doesn't raise income*
- D a release of government food stocks onto the market *Benefits consumers (low price)*

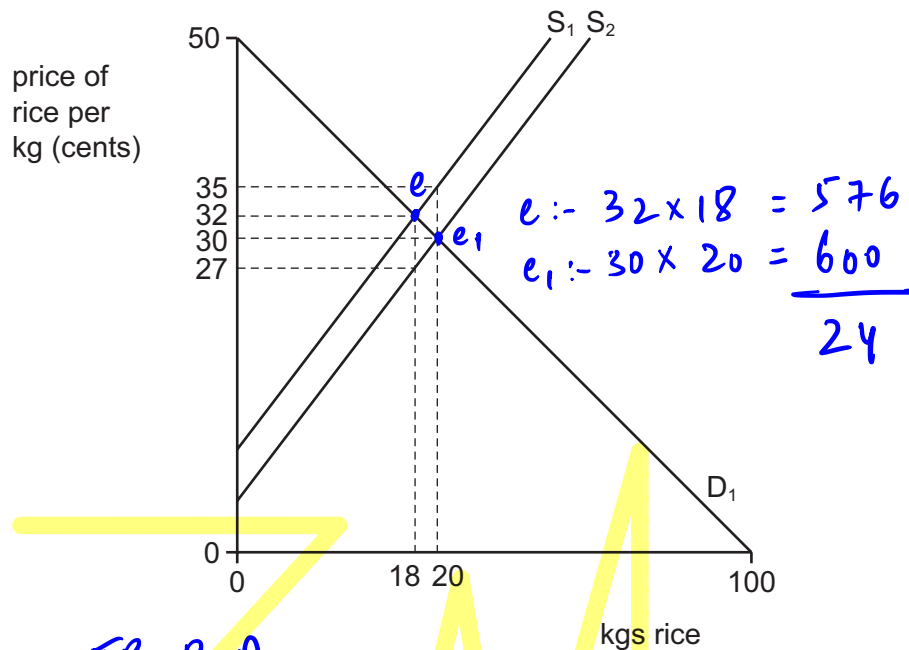
Ineffective (Price mechanism)

Subsidy, cost ↓, supply ↑, price ↓

Benefits consumer

Doesn't benefit producer

15 The diagram shows the demand and supply of rice. Supply increases from S_1 to S_2 .



What is the change in sales revenue received by the rice farmer?

- ☒ A 24 cents
- ☐ B 60 cents
- ☐ C 600 cents
- ☐ D 700 cents

* Unlike the exchange transaction which mutually benefits all the parties involved in it, the transfer payment consists of a donor and a recipient, with the donor giving up something of value without receiving anything in return.

16 Money is paid by the government to an unemployed worker in the form of a benefit.

Why is this called a transfer payment? *no contribution to output*

- ☐ A The payment is from taxes paid by employed workers. *contributing to output*
- ☐ B The payment is made from government savings not current income. *savings generated through tax, contribution to output.*
- ☒ C The payment is made without the production of goods and services taking place. *to output.*
- ☐ D The payment must be spent as directed by the government.

Can't be applied, also no link to transfer payments.

17 What describes a regressive tax? *(Indirect tax) (hurts poor) (inequality ↑ if raised)*

- ☒ A low income earners pay a higher proportion of their income in tax than high income earners
- ☐ B marginal tax rates exceed average tax rates *Direct tax, option D.*
- ☐ C the cost of collecting the tax exceeds the revenue raised
- ☐ D the marginal rate of tax is higher for high income earners than for low income earners

*(under progressive tax)
[MRT > ART]*

* A regressive tax is a tax imposed in such a manner that the tax rate decreases as the amount subject to taxation increases. "Regressive" describes a distribution effect on income or expenditure, referring to the way the rate progresses from high to low, so that the average tax rate exceeds the marginal tax rate.

Can't, $\text{Social cost} = \text{private cost} + \text{External cost}$

8

- 18 A government is concerned that foreign-owned companies are responsible for a high proportion of the economy's output. Therefore it nationalises timber extraction, which is controlled by a foreign-owned company.

What benefit will the economy gain from the change in ownership?

- A forestry workers will become the new owners *No*
 B profits will no longer be sent abroad to foreign shareholders, *earlier it was under foreign company*
 C social costs arising from forestry will be eliminated
 D the market for timber will become more competitive *other way round.*
↳ It's now under government.

- 19 What will definitely lead to an improvement in the terms of trade?

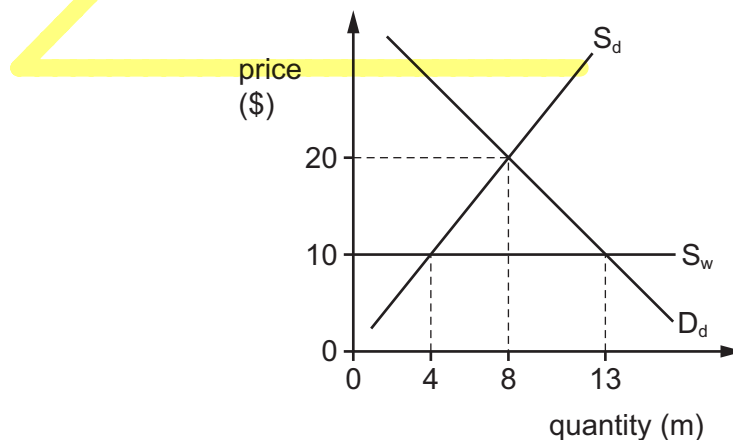
- A Export prices fall whilst import prices rise. *TOT ↓*
 B Export prices rise by the same amount as import prices. *Uncertain*
 C Export prices rise slower than import prices. *TOT ↓*
 D Export prices rise whilst import prices stay the same. *TOT ↑*

$$TOT = \frac{X P \uparrow}{M P} \times 100 = TOT$$

*e.g. $X P \uparrow$ by 10%
 $M P$ unchanged*

$$TOT = \frac{110}{100} \times 100 = 110$$

- 20 In the diagram S_d is the domestic supply of a product, S_w is the world supply and D_d is the domestic demand for the product.



After operating a free trade system the country bans all imports.

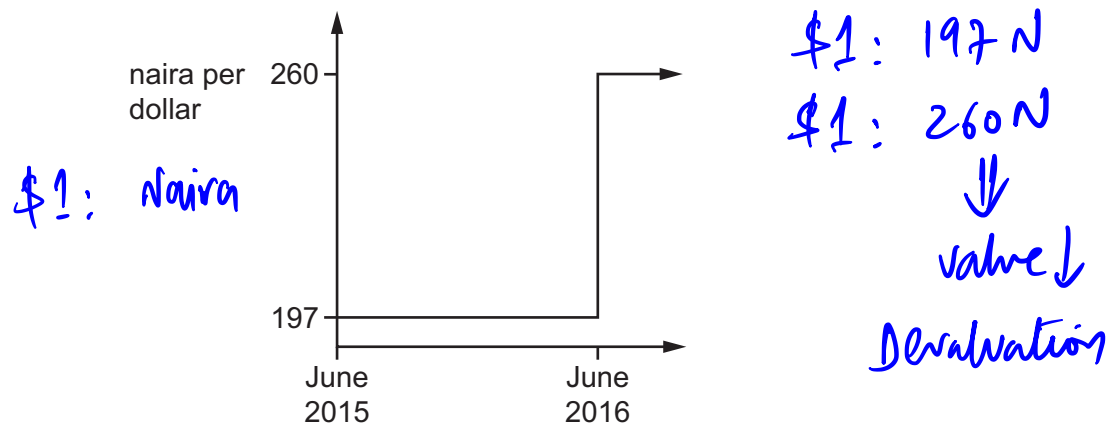
What will be the effect on the revenue of domestic producers and world producers of the ban?

	domestic producers \$m	world producers \$m
A	gain 120 ✓	lose 50
B	gain 120 ✓	lose 90 ✓
C	gain 160	lose 50
D	gain 160	lose 90 ✓

*→ 13 - 4 = 9 (imports)
 $9 \times 10 = 90$ (lose)*

*Earlier:- $10 \times 4 = 40$
 After:- $20 \times 8 = 160$
 gain:- 120*

- 21 The diagram shows the value of the Nigerian naira against the US dollar between June 2015 and June 2016.



Which term is used for the change in the value of the naira in June 2016?

- A appreciation (Floating ER)
 B depreciation
☒ C devaluation (Fixed / Managed floating ER)
 D revaluation

- 22 Countries M and N produce the world supply of machines and textiles. The table shows what each country produces when it divides its resources equally between the two products.

Country M: Textile (c.A)
 Country N: Machine (c.A)

	50% machines	50% textiles
country M	1000	500
country N	900	300
total	1900	800

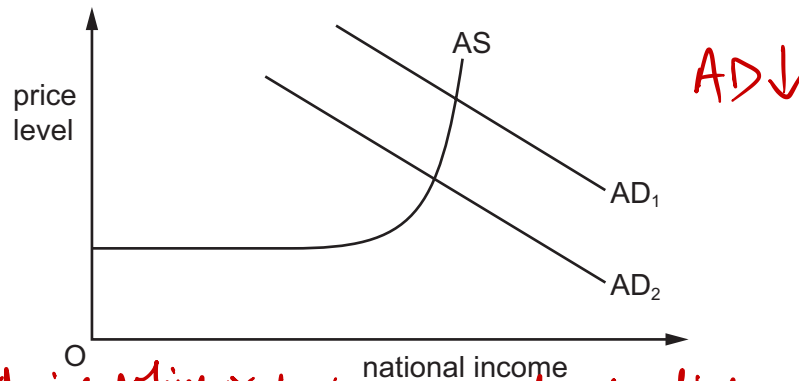
$M(T: M) = 500:1000 = 1:2$
 $N(T: M) = 300:900 = 1:3$

What should happen according to the principle of comparative advantage?

- A Country M should produce both machines and textiles. NO
 B Country M should specialise in the production of machines, country N should specialise in production of textiles. NO
☒ C Country M should specialise in the production of textiles, country N should specialise in production of machines. correct, see calculation
 D Country N should produce both machines and textiles.

* You should know how to calculate opportunity cost ratio
 * Lower opportunity cost leads to specialization

23 The diagram shows an aggregate supply curve, and aggregate demand curves.



Expenditure reducing policy or contractionary fiscal policy
What would cause a decrease in aggregate demand from AD₁ to AD₂?

- A an increase in income tax, Tax ↑, income ↓, Spend ↓, C ↓, AD ↓
- B an increase in the price of electricity (Micro)
- C an increase in the tax on goods AS ↓
- D an increase in wage rates Cost ↑, AS ↓

* A monetary union is a zone where a single monetary policy prevails and inside which a single currency, or currencies which are perfect substitutes, circulate freely. Most countries issue their own currencies that are not linked to others and thus constitute monetary unions on their own.

24 Two countries trade with one another without any forms of protection. They also impose a common external tariff on the imports from all other countries.

What have these two countries formed?

- A a customs union (you just need to know what is custom union for this MCD)
- B a free trade area No Tools of protection
- C a monetary union common monetary policy
- D an economic union common policies.

* An economic union is an agreement between two or more nations to allow goods, services, money and workers to move over borders freely. The countries may also coordinate social and financial policies to support this common market. The European Union (EU) is an example of an economic union.

25 The terms of trade of a developing country fell from 90 in 2010 to 80 in 2015.

Assuming the index of its import prices remained constant at 110 between these two years, what happened to its index of export prices?

- A fell by 10
- B fell by 11
- C increased by 10
- D increased by 30

$$TOT = \frac{x}{110} \times 100 = 90$$

$$x = 99$$

$$TOT = \frac{x}{110} \times 100 = 80$$

$$x = 88$$

fall by 11

Encouraging new firms/industry, development of product, comparative advantage.

11

26 Which type of import control allows a country to develop a potential comparative advantage in a particular good?

A a quota that protects jobs in a depressed region

B a short-term tariff that protects an infant industry

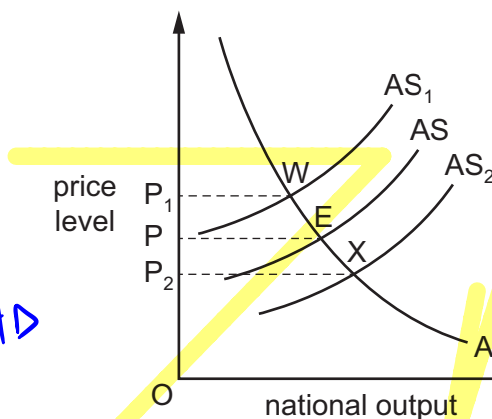
C a tariff that improves an industry's terms of trade

D an embargo on goods with negative externalities

limit on quantity of goods. Region with low development

Tariff, $M_p \uparrow$, TOT worsen ($TOT = \frac{X_p}{M_p} \times 100$)
Ban, doesn't affect or
harm to comparative advantage

27 The diagram shows aggregate demand (AD) and aggregate supply (AS) in an economy. The initial equilibrium is at point E.



option A: Movement in AD and B

What causes shifts in the aggregate supply curve from AS to AS₁ and from AS to AS₂?

	shift from AS to AS ₁ $AS \downarrow$	shift from AS to AS ₂ $AS \uparrow$
A	change in AD from E to W	change in AD from E to X
B	increase in price level from P to P ₁	decrease in price level from P to P ₂
C	increase in productivity of capital $AS \uparrow$	fall in the returns to capital $AS \downarrow$
D	shortages of skilled labour	improvements in training of workforce

Wage $\uparrow$, cost $\uparrow$, $AS \downarrow$

productivity $\uparrow$, $AS \uparrow$

28 Which action might be part of an expansionary economic policy?

A reducing the budget deficit $G \downarrow$, contractionary

B reducing the level of government spending, same as option A

C reducing the money supply $M^s \downarrow$, contractionary

D reducing the rate of interest, $R \downarrow$, $C \uparrow$, $I \uparrow$, $AD \uparrow$, expansionary

Appreciation, $x_p \uparrow$, $m_p \downarrow$, Trade deficit, $AD \downarrow \rightarrow P \downarrow$
 $\rightarrow$ output $\downarrow$

12

- 29 A government is faced with rising inflation. It wishes to reduce inflationary pressure while avoiding a fall in output.

Which action is **most** likely to meet its needs?

A an increase in laws to promote competition

$AS \uparrow \rightarrow P \downarrow$
 $\rightarrow$ output $\uparrow$

B an increase in taxation

Contractionary fiscal, $AD \downarrow \rightarrow P \downarrow$
 $\rightarrow$ output $\downarrow$

C an increase in the budget surplus

$G \downarrow$, same as option B

D an increase in the exchange rate

- 30 Why may a government seek to reduce a current account surplus on the balance of payments?

A to lower inflation

B to lower unemployment

C to raise the economic growth rate

D to raise the exchange rate

Inflows $\uparrow >$ outflows $\downarrow$

$AD \uparrow$

All are effects
of current account surplus

$AD \uparrow \rightarrow$ output $\uparrow \rightarrow$ unemployment $\downarrow$
 $\downarrow$
growth rate $\uparrow$

Inflows $\uparrow$
 $AD \uparrow$
 $AD > AS$
price $\uparrow$
inflation

inflows $\uparrow$
 $ER \uparrow$

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